

States all aboard, it'll be an interest saver

Administrative **reforms** in expenditure on centrally **sponsored** schemes and projects **have delivered** big savings on interest payments. This contributes to the overall effort to reduce **fiscal deficit**. Finmin is justified in **seeking** wider coverage of the single nodal agency (SNA) system for transferring funds to states. SNA is **transparent** in that funds are debited into specific accounts only at the stage they're needed. This improves scheme and project monitoring. More importantly, SNA corrects against money **idling** in accounts and, thus, reduces the interest bill. Finally, it generates a wealth of data that can inform public policy. **Alongside tech-assisted** tax collection that has improved **buoyancy**, expenditure management has been an **underrated** piece of reform in government finances.

Centrally sponsored schemes are **key** to making India's growth more **inclusive**, and to ensure development is regionally balanced. Role of the Centre is **subsidiary**, but critical in ensuring **equalisation** of services, such as healthcare, **nationwide**. There is a need to **whittle down** the number of schemes to make them more impactful and improve monitoring of outcomes, instead of processes. Other issues remain such as **upfront** and **stable funding**, **bilaterally** agreed **outcome compacts** with states, and **credible** information flow on output indicators. These are **substantively** bigger reforms involving CSS and are **inclined** to be more **protracted**. The Centre has, however, made **considerable** progress with less **arduous** administrative reforms in this area.



There is much ground to be covered, though, on improving states' **absorptive** capacity. The big **hurdle** in co-sponsored development **remains** getting states **on board** about the **pace** of change.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

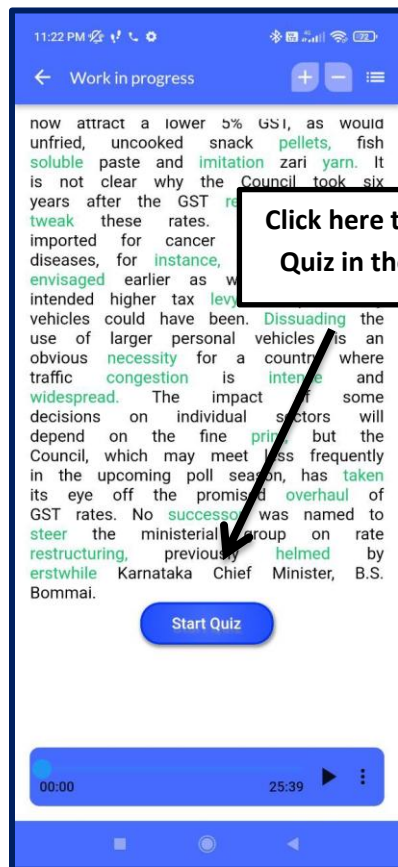
1. **Sponsored** (adjective) – Funded, Supported, Backed, Financed, Endorsed
प्रायोजित
2. **Deliver** (on) (verb) – Achieve, Fulfill, Execute, Accomplish, Implement पूरा करना
3. **Fiscal deficit** (noun) – it happens when a government spends more money than it receives in a given year. राजकोषीय घाटा
4. **Seek** (Verb) – Pursue, Request, Aim, Strive, Attempt तलाश करना
5. **Transparent** (adjective) – Clear, Open, Honest, Visible, Understandable पारदर्शी
6. **Idle** (verb) – Laze, Loaf, Linger, Sit, Remain unused निष्क्रिय रहना
7. **Alongside** (adverb) – Together, Simultaneously, Side by side, Concurrently, Parallel साथ-साथ
8. **Tech-assisted** (adjective) – Technology-enabled, Digital, Automated, Computerized, Tech-driven तकनीक-सहायता प्राप्त
9. **Underrated** (adjective) – Undervalued, Underestimated, Unappreciated, Overlooked, Neglected कम आंका गया
10. **Key** (adjective) – Essential, Crucial, Vital, Important, Fundamental महत्वपूर्ण
11. **Inclusive** (adjective) – Comprehensive, All-encompassing, Broad, Wide-ranging, Universal समावेशी
12. **Subsidiary** (adjective) – Secondary, Auxiliary, Supporting, Supplementary, Minor सहायक
13. **Equalisation** (noun) – Balancing, Leveling, Standardization, Uniformity, Parity समानीकरण
14. **Nationwide** (adverb) – Countrywide, Nationally, Across the country, Throughout, Everywhere राष्ट्रव्यापी
15. **Whittle down** (phrasal verb) – Reduce, Decrease, Cut down, Trim, Shrink कम करना
16. **Upfront funding** (noun) – money or resources invested in a project, business, or opportunity before any returns are seen
17. **Stable funding** (noun) – the portion of a bank's capital and liabilities that are expected to be reliable over a specific time period
18. **Bilaterally** (adverb) – Mutually, Jointly, Together, Cooperatively, Reciprocally द्विपक्षीय रूप से
19. **Outcome** (noun) – Result, Effect, Consequence, Output, Conclusion परिणाम

20. **Compact** (verb) – Compress, Condense, Consolidate, Simplify, Streamline संक्षिप्त करना
21. **Credible** (adjective) – Reliable, Trustworthy, Believable, Convincing, Authentic विश्वसनीय
22. **Substantively** (adverb) – Essentially, Fundamentally, Significantly, Meaningfully, Importantly मूल रूप से
23. **Incline** (to) (verb) – Tend, Lean, Favor, Gravitate, Be prone to प्रवृत्त होना
24. **Protracted** (adjective) – Prolonged, Extended, Lengthy, Drawn-out, Long-drawn लंबा खिंचा हुआ
25. **Considerable** (adjective) – Significant, Substantial, Large, Ample, Notable काफी
26. **Arduous** (adjective) – Difficult, Challenging, Tough, Strenuous, Laborious कठिन
27. **Absorptive capacity** (noun) – the ability of an organization to discover and use new ideas or technology to help its activities or business
28. **Hurdle** (noun) – Obstacle, Barrier, Challenge, Difficulty, Impediment बाधा
29. **On board** (phrase) – Agreeing, Participating, Involved, Committed, Engaged सहमत
30. **Pace** (noun) – Speed, Rate, Tempo, Momentum, Rhythm गति

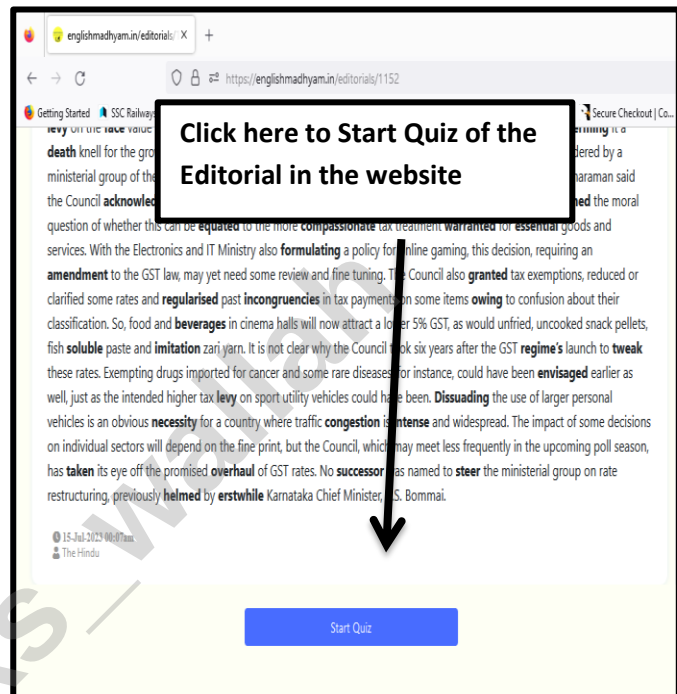
Summary of the Editorial

1. **Administrative Reforms Yield Savings:** The editorial notes that improved administrative processes, particularly for centrally sponsored schemes (CSS), have significantly lowered interest payments.
2. **Fiscal Deficit Impact:** These savings help in reducing the overall fiscal deficit, reflecting the importance of better expenditure management in public finances.
3. **Single Nodal Agency (SNA) System:** The Finance Ministry is advocating wider implementation of the SNA system, which transfers funds to States in a more transparent and need-based manner.
4. **Transparency and Monitoring:** Under the SNA mechanism, funds are debited only when required for specific schemes or projects, improving oversight and reducing idle balances.
5. **Interest Cost Reduction:** By preventing funds from lying unused in multiple accounts, the SNA framework slashes unnecessary interest expenses.
6. **Better Data for Policymaking:** The SNA's systematic approach yields a wealth of real-time data that can inform more evidence-based public policy decisions.
7. **Complementing Tech-Enabled Tax Collection:** Alongside improved tax buoyancy through technology, streamlined expenditure practices form an underrated but essential part of fiscal reforms.
8. **Centrally Sponsored Schemes' Role:** CSS are vital to making India's growth more equitable and ensuring balanced regional development.
9. **Centre's Subsidiary but Critical Role:** While States implement many services, the Centre's intervention through CSS ensures a baseline of equalized services across the country.
10. **Rationalization of Schemes:** The editorial suggests reducing the number of schemes for sharper focus and more impactful outcomes, rather than an emphasis on procedural compliance.
11. **Outcome-Focused Monitoring:** There is a call to shift the attention from process-based assessments to monitoring real-world results and efficacy of schemes.
12. **Challenges Beyond Administration:** Ensuring upfront and stable funding, forging robust outcome compacts with States, and gathering credible data on outputs remain major hurdles.
13. **Longer-term Reforms Needed:** Deep structural changes in CSS will take time, given their complexity and the need for broad consensus among stakeholders.
14. **Progress on Easier Reforms:** The Centre has already made considerable headway in less challenging administrative aspects, underscoring that these reforms are doable.
15. **States' Absorptive Capacity:** The editorial highlights the importance of getting States fully on board with these reforms, as weak implementation capacity can be a major impediment to success.

Practice Exercise: Banking pattern Based



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